

denominator remains consistent: There is no plan, no savings—spend more than you earn and trade a secure tomorrow for a “living large” lifestyle of today.

A Sidewalker’s wealth equation is determined by income plus debt, determined by available credit.

$$\text{Wealth} = \text{Income} + \text{Debt}$$

Sidewalkers create their lifestyle in direct proportion to their income and supplement that lifestyle with extensive use of debt. All Sidewalkers stress about paying their mortgage or rent, paying the utility bills, meeting the minimum payments on their credit cards—it’s just what happens when there is no thought given past the happy hour after payday.

### THE AFFLUENT SIDEWALKER: INCOME-RICH

When an income-rich Sidewalker goes broke it makes big news. Have you ever wondered how a rich rapper can go broke three years after his last album? Or why a famous actor needs to file bankruptcy a few years removed from the public spotlight? How does one transform an \$80-million NBA contract into the oblivion of bankruptcy? I’ll tell you: The Sidewalk where wealth equals income plus debt.

You don’t have to look hard to find an “Income-Rich” Sidewalker. These are people who look rich, but in reality are one paycheck, one album, or one movie failure from broke. They make large incomes, with every dime spent on the next lavish accoutrement. Their lifestyle is accelerated by a big income and a big credit line. Yes, after their big income is spent, they buy more things they don’t need with money they don’t have, trusting fully that their large incomes will go on forever.

I laughably refer to Sidewalkers as “all credit cards.” They drive nice cars and wear expensive clothes, but are one blown gasket away from a total financial meltdown.

A member of the Fastlane Forum (TheFastlaneForum.com) posted this slice of Sidewalking overhead from a friend who works at a lending agency:

*“A famous rapper was denied a loan for \$60,000 . . . despite putting on his application that he was making \$400,000 per month . . . yet, after having two hits in the past year, he must be broke. He also had a terrible credit score. Goes to show you, money management skills and having good credit are very important, even when you are having a ton of success.”*

Since Income-Rich Sidewalkers earn big incomes, having designer clothes, accessories, and hobbies are commensurate with their earnings. For example, if an Income-Rich Sidewalker earns \$20,000 a month, they feel justified in buying a pair of \$300 jeans. The problem is that, just like Income-Poor Sidewalkers, an